

THE WALL STREET JOURNAL.

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Last week: **DJIA** 47716.42 ▲ 1471.01 3.18% **NASDAQ** 23365.69 ▲ 4.9% **STOXX600** 576.43 ▲ 2.5% **10-YR. TREASURY** ▲ 12/32, yield 4.018% **OIL** \$58.55 ▲ \$0.49 **EURO** \$1.1598 **YEN** 156.18

What's News

Business & Finance

- ◆ **More than any other** generation, young adults are tightening their year-end budgets and shelling out less for gifts, survey data show. **A1**
- ◆ **Stocks and** cryptocurrencies linked to Trump are in a deep trough, leaving some of the president's biggest supporters with steep losses. **A1**
- ◆ **Defense-tech companies** and artificial-intelligence startups are lining up to sell the U.S. military tools for a different kind of war. **A1**
- ◆ **Western companies** that found easy profits in China in years gone by are adapting to a new reality of fiercer competition in that market. **B1**
- ◆ **"Zootopia 2" dominated** the Thanksgiving weekend domestic box office and demonstrated that the right Hollywood movie can still make big money in China. **B1, B2**
- ◆ **U.S. shipping companies,** which are generally required to hire Americans, say they aren't attracting enough sailors despite high pay and substantial perks and that is raising national-security concerns. **A2**
- ◆ **Copper thieves** have wreaked havoc in the Los Angeles area, stealing and reselling wires that transmit electrical signals for phone and internet lines. **B3**
- ◆ **Cybercriminals are** using online freight marketplaces to infiltrate logistics company computer systems to identify and steal high-value cargo. **B3**
- ◆ **Difficulty gauging** AI startups' earnings is frustrating venture capitalists who say they are working overtime to judge what is real before they make an investment decision. **B4**

World-Wide

- ◆ **U.S. and Ukrainian** negotiators said a meeting on ending the war with Russia, which included talks on possible elections, land swaps and security guarantees, was productive, and top U.S. envoys will head to Moscow on Monday for further discussions. **A1, A7**
- ◆ **Congress launched** inquiries and lawmakers from both parties raised the possibility of war crimes after a report that the U.S. targeted survivors of a strike on an alleged drug boat. **A2**
- ◆ **Israeli Prime Minister** Benjamin Netanyahu officially requested a pardon in his corruption trial, an unusual move over an issue that has divided the country. **A9**
- ◆ **Northwestern University** agreed to pay the Trump administration \$75 million to settle complaints of alleged discrimination at the university and to restore federal research funding. **A3**
- ◆ **Demonstrators** confronted immigration-enforcement officers in New York City, preventing masked federal agents from leaving a parking garage. **A4**
- ◆ **Hondurans voted in** a presidential election that was muddied after Trump endorsed one candidate and promised to pardon a former Honduran president serving a prison sentence in the U.S. for turning his country into a narco-state. **A8**
- ◆ **The FDA will upend** its approach to immunizations for respiratory illnesses, including flu vaccines, according to an email to staff from the agency's vaccine division director. **A3**
- ◆ **Died: Tom Stoppard, 88,** playwright and screenwriter. **A9**

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Left, Secretary of State Marco Rubio; second from right, Rustem Umerov, leading the Ukrainian delegation and head of Ukraine's security council; and, right, Ukrainian First Deputy Foreign Minister Sergiy Kyslytsya, at the talks in Florida on Sunday

Russia Dangles Business Ties To U.S. at Europe's Expense

Kremlin pitched White House on investments and industry to end war

Three powerful businessmen—two Americans and a Russian—hunched over a laptop in Miami Beach, ostensibly to draw up a plan to end Russia's long and deadly war with Ukraine.

But the full scope of their project went much further, according to people familiar with the talks. They were privately charting a path to bring Russia's \$2 trillion economy in

from the cold—with American businesses first in line to beat European competitors to the dividends.

At his waterfront estate, billionaire developer-turned-special envoy Steve Witkoff was hosting Kirill Dmitriev, head of Russia's sovereign-wealth fund and Vladimir Putin's hand-picked negotiator, who had largely shaped the document they were revising on the screen. Jared Kushner, the president's son-in-law, had arrived from his nearby home on an island known as the "Billionaire Bunker."

Dmitriev was pushing a plan for U.S. companies to tap the

By *Drew Hinshaw, Benoit Faucon, Rebecca Ballhaus, Thomas Grove and Joe Parkinson*

roughly \$300 billion of Russian central bank assets, frozen in Europe, for U.S.-Russian investment projects and a U.S.-led reconstruction of Ukraine. U.S. and Russian companies could join to exploit the vast mineral wealth in the Arctic. There were no limits to what two longtime adversaries could achieve, Dmitriev had argued: Their rival space industries, which raced one another dur-

ing the Cold War, could even pursue a joint mission to Mars with Elon Musk's SpaceX.

For the Kremlin, the Miami talks were the culmination of a strategy, hatched before Trump's inauguration, to bypass the traditional U.S. national security apparatus and convince the administration to view Russia not as a military threat but as a land of bountiful opportunity, according to Western security officials. By dangling multibillion-dollar rare-earth and energy deals, Moscow could reshape the economic map of Europe—while driving a wedge between Amer-

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Retailers Feel a Chill From Gen Z Shoppers

By JENNIFER WILLIAMS

Economic worries aren't putting much of a dent in consumers' holiday shopping plans, with one glaring exception: Gen Z shoppers.

More than any other generation, young adults are tightening their year-end spending budgets and shelling out less for gifts, survey data show. That is a problem for retailers and brands that look to Generation Z—a group that runs from teens to late-20-somethings—to drive shopping trends and boost spending steadily as they earn bigger paychecks.

This year, more are taking the tack of 25-year-old Sonia Iacoboni, who has warned loved ones that she is spending less this season. The sales-account executive is paying rent for the first time, which together with student-loan repayment eats up \$2,400 each month. Those extra costs come on top of higher price tags for groceries and other essentials.

"My bank account is certainly not where it once was," the Long Islander said she

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◆ **Heard on the Street: Don't bet against lunch bowl...** B9

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THE BUSINESS OF WORK

The Story of the World's Greatest Economy
R1-26

Drug War Bolsters Defense Startups

By HEATHER SOMERVILLE AND VERA BERGENGRUEN

The U.S. military has turned its attention southward, and the defense industry is lining up to sell it the tools for a different kind of war.

Defense-tech companies and artificial-intelligence startups have found a vital new market in President Trump's rapidly escalating drug war. Weapons and AI platforms that were designed for a future conflict with China or struggled to prove themselves on the Ukrainian

battlefield have found a niche in the administration's tech-enabled crackdown on drug trafficking.

Trump on Saturday said the airspace surrounding Venezuela should be considered closed, ratcheting up tensions with Venezuelan leader Nicolás Maduro and offering yet another sign that he is considering striking targets on land in the campaign. Venezuela's government condemned Trump's push, calling it a co-

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◆ **Venezuela's friends sit out its U.S. clash.....** A8

Guy Can't Forget First Love Bug

How Jeff Siegrist tracked down VW he sold in 1996

By A.J. BAIME

Locals in Pawleys Island have a special affection for classic vehicles. The coastal South Carolina town is home to many nostalgic retirees, and on weekends its streets see plenty of restored '60s-era muscle cars. Of all the classics motoring past Parlor Doughnuts on Ocean Highway, none has captured the community's attention like Rudolph the Red-Nosed Volkswagen.

"Everybody in town rubber necks and waves when this Beetle drives by," says Rev. Wil Keith, a 47-year-old priest. "It's one of the much-adored cars in our little town right

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Investors See Big Losses From President's Brand

By JACK PITCHER

Stocks and cryptocurrencies linked to President Trump are in a deep slump, leaving some of the president's biggest fans with steep losses.

Shares of Trump Media & Technology Group, which operates the president's Truth Social platform, have tumbled 75% since Trump's inauguration. Digital "meme coins" named for Trump and first lady Melania Trump are down 86% and 99% since inauguration day, respectively. One of the Trump family's crypto ventures, a token called World Liberty Financial, has dropped roughly 40% since its September launch.

Trump's 2024 campaign inspired a wider investment thesis, with pro and amateur traders alike piling into areas such as healthcare and prison stocks as well as cryptocurrencies—assets they expected to fare well during a second

Trump administration.

But one year into the president's return to the White House, some of the so-called Trump trades have struggled.

The turnabout has been particularly stark with stocks and digital tokens with direct associations to the president and his family. They have been hit hard by a broader slump affecting the priciest and most-speculative corners of the market—from bitcoin to AI darlings such as CoreWeave.

Trump stocks benefited from expectations that the administration would usher in an era of deregulation, tax cuts and supportive crypto policies—and that assets tied directly to Trump and his family would continue to rally.

With the president's return to the White House, though, his policies on global trade have upended some of those bets now that investors are paying more attention to the perfor-

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